

MATTU UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF ECONOMICS

Model Exam For G.C class 2017

1. Maximize utility function $U(X, Y) = XY$, subject to budget line $X + 4Y = 120$. then which one of the following is NOT TRUE?
 - A. The optimum values that maximize utility is (60, 15)
 - B. The maximum utility is 900.
 - C. If the price of good X is increased to 2, then the optimum value is (30, 15)
 - D. If the price of good Y is decreased to 3, then the optimum value is (15, 30)
2. The unemployment caused by the time it takes workers to search for a job is called
 - A. Frictional unemployment
 - B. Structural unemployment
 - C. Disguised unemployment
 - D. Cyclical unemployment
3. The IS curve is negatively sloped because an increase in the interest rate
 - A. Reduces planned investment
 - B. Reduces aggregate demand.
 - C. Reduce the equilibrium level of income
 - D. All
 - E. All except C
4. Suppose the economy is operating on the LM curve but not on the IS curve. Given this information, we know that:
 - A. The money market and bond markets are in equilibrium and the goods market is not in equilibrium.
 - B. The money, bond and goods markets are all in equilibrium.
 - C. Neither the money, bond, nor goods markets are in equilibrium.
 - D. The goods market is in equilibrium and the money market is not in equilibrium.
5. The steepness of IS curve depends on:
 - A. the elasticity of investment demand curve
 - B. the size of the multiplier
 - C. demand for money
 - D. both A & B
6. Which of the following is true concerning the Keynesian Cross?
 - A. Basic model of income determination

- B. Takes fiscal policy and investment as exogenous
 - C. Fiscal policy has a multiplier effect on income.
 - D. All
7. If the economy is in a severe recession, which of the following measures is most appropriate?
- A. An increase in government spending
 - C. An increase in personal income taxes
 - B. A decrease in government spending
 - D. A decrease in welfare payments
8. According to Keynesians, which of the following would increase aggregate demand?
- A. An increase in investment
 - C. A decrease in unemployment benefits
 - B. An increase in the tax rate
 - D. A decrease in government expenditures
9. Which of the following is the limitation of the Mundell-Fleming Model?
- A. Treatment of capital flows
 - B. Interaction of stocks and flows
 - C. Wealth Effect
 - D. All
10. Which one of the following is false regarding the core concept of Milton Friedman and the permanent-Income Hypothesis consumption model?
- A. Friedman reasoned that consumption should depend primarily on permanent income
 - B. Consumers use saving and borrowing to smooth consumption in response to transitory changes in income
 - C. In long time-series, one should observe a variable average propensity to consume, as in fact Kuznets found
 - D. It argues that the average propensity to consume depends on the ratio of permanent income to current income
11. The following are the main methods commonly used by central banks to control growth in the money supply
- A. Reserve requirement ratios
 - B. Central bank lending to banks
 - C. Control over the interest rate

- D. All of the above
12. According to the Harrod-Domar model, an increase in growth rates depends on
- A. Increase in capital-output ratio
 - B. a fixed capital-output ratio
 - C. Decrease in capital-output ratio
 - D. None of the above
13. Neoclassical labour market is characterized by:
- A. Perfect competition and Perfect information
 - B. Market clearing, flexible wages
 - C. Homogenous workers
 - D. No involuntary unemployment
 - E. All
14. One of the following explains the differences b/n Keynesians and New Keynesian views of the labor market
- A. New Keynesian concludes that real wage rigidity explains involuntary unemployment.
 - B. Keynes focused on nominal wage rigidity and explained the role of real wage is not so relevant in determining output and employment
 - C. A and B
 - D. All
15. Economists have proposed various reasons to explain how wages affect worker productivity. One of the following is the failure of firms to cut wages despite an excess supply of labor.
- A. High wage improves worker effort
 - B. High wages reduce labor turnover
 - C. The average quality of a firm's workforce depends on the wage it pays its employees
 - D. All
16. Economists distinguish between two lags in the conduct of stabilization policy: the inside lag and the outside lag. Concerning the inside lags and outside lags, one of the following is true
- A. The inside lag is the time b/n a shock to the economy and the policy action responding to that shock.
 - B. The outside lag is the time b/n a policy action and its influence on the economy.

- C. A long inside lag is a central problem with using fiscal policy for economic stabilization.
 - D. Monetary policy has a much shorter inside lag than fiscal policy
 - E. All
17. There is a debate among economists concerning should policies be conducted by Rule or by Discretion. Based on this, which one of the following is true?
- A. Policy is conducted by rule if policymakers announce in advance to the public and policy makers commit themselves to follow that particular policy.
 - B. Policy is conducted by discretion if policymakers are free to size up events as they occur and choose whatever policy seems appropriate at the time.
 - C. A and B
 - D. None
18. If the Central Banks were to commit to a rule for monetary policy, what rule should they choose?
- A. Monetarist's Policy Rule
 - B. Nominal GDP Targeting
 - C. Inflation Targeting
 - D. All
19. Which one of the following is the key difference between this endogenous growth model and the Solow model?
- A. In the Solow model, saving leads to growth temporarily, but diminishing returns to capital eventually force the economy to approach a steady state in which growth depends only on exogenous technological progress.
 - B. In endogenous growth model, saving leads to growth temporarily, but diminishing returns to capital eventually force the economy to approach a steady state in which growth depends only on exogenous technological progress.
 - C. In the Solow growth model, saving and investment can lead to persistent growth.
 - D. All

20. Why do economies exhibit sustained growth in the Solow model?
- A. Technological progress.
 - B. Investment and Saving
 - C. The role of Capital stock
 - D. All
21. What is the function of the International Monetary Fund (IMF) in relation to exchange rates?
- A. To set exchange rates for all member countries
 - B. To provide financial assistance to countries with weak currencies
 - C. To regulate forex brokers
 - D. To facilitate currency speculation
22. What is the primary goal of a country's balance of payments?
- A. To maximize imports and minimize exports
 - B. To maintain a trade surplus at all times
 - C. To ensure a stable exchange rate
 - D. To track all international financial transactions
23. Which of the following is a factor that can lead to currency depreciation?
- A. High interest rates in the country
 - B. Strong economic fundamentals
 - C. Trade surplus
 - D. Political instability
24. What is the significance of the "Bretton Woods Agreement" in the history of exchange rate systems?
- A. It established the gold standard
 - B. It introduced the euro as a common currency
 - C. It created a system of fixed exchange rates with the US dollar as the anchor currency
 - D. It led to the collapse of the foreign exchange market
25. The Monetary Exchange Rate Model emphasizes the role of which economic variable in exchange rate determination?
- A. Inflation rates
 - B. Interest rates
 - C. Money supply
 - D. Balance of trade

26. In the Elasticity Approach, if a country's exports are relatively more price-sensitive (elastic) than its imports, what is likely to happen to its exchange rate?
- A. The country's currency should appreciate.
 - B. The country's currency should depreciate.
 - C. Exchange rates should remain unchanged.
 - D. It depends on other factors.
27. According to the Monetary Exchange Rate Model, if a country experiences an increase in its money supply, what is the likely effect on its exchange rate?
- A. The country's currency should appreciate.
 - B. The country's currency should depreciate.
 - C. Exchange rates should remain unchanged.
 - D. It depends on other economic factors.
28. Which component of the Balance of Payments records international trade in goods and services?
- A. Current Account
 - B. Capital Account
 - C. Financial Account
 - D. Official Reserves Account
29. According to the Balance of Payments Theory, if a country consistently runs a trade deficit, what is likely to happen to its exchange rate?
- A. The country's currency should appreciate.
 - B. The country's currency should depreciate.
 - C. Exchange rates should remain unchanged.
 - D. It depends on other economic factors.
30. In the Balance of Payments, what does a surplus in the Current Account indicate?
- A. The country is exporting more than it is importing.
 - B. The country is borrowing heavily from foreign lenders.
 - C. The country's government is running a budget surplus.
 - D. The country's central bank is accumulating reserves.
31. What does the "J-Curve Effect" in the Balance of Payments refer to?
- A. A graphical representation of a country's trade balance over time.
 - B. The lag in the response of a country's trade balance to changes in exchange rates.
 - C. The trade balance when a country's imports and exports are equal.
 - D. The impact of government fiscal policy on the Current Account.

32. According to the “Monetary Approach,” what is the relationship between changes in a country’s money supply and changes in its exchange rate?
- A. An increase in the money supply leads to a depreciation of the currency.
 - B. An increase in the money supply leads to an appreciation of the currency.
 - C. Changes in the money supply have no impact on exchange rates.
 - D. Exchange rates are solely determined by government policies.
33. What is the central concept of the Elasticity Approach in balance of payments analysis?
- A. The role of government intervention in trade
 - B. The responsiveness of trade to changes in price and income
 - C. The importance of monetary policy in exchange rate determination
 - D. The impact of interest rate differentials on capital flows
34. According to the Absorption Approach, what does a decrease in domestic income tend to lead to in terms of a country’s Current Account balance?
- A. An increase in the Current Account surplus
 - B. A decrease in the Current Account deficit
 - C. An increase in government spending
 - D. A decrease in foreign direct investment
35. Which of the following is a benefit of a floating exchange rate system?
- A. Exchange rate stability
 - B. Control over interest rates
 - C. Reduced currency risk for international trade
 - D. Automatic adjustments to trade imbalances
36. How does an increase in government spending affect the trade balance in an open economy with a fixed exchange rate?
- A. It has no impact on the trade balance.
 - B. It improves the trade balance.
 - C. It worsens the trade balance.
 - D. It leads to a depreciation of the domestic currency.
37. A firm is considering three investment projects which we will refer to as A, B, and C. Each project has an initial cost of \$10 million. Investment A offers an expected rate of return of 16%, B of 8%, and C of 12%. The firm's cost of capital is 6% if it borrows \$10 million, 10% if it borrows \$20 million, and 15% if it borrows \$30 million. Which project(s) should the firm invest in?

A. Just A, because it offers the highest rate of return and is the only investment that has a rate of return higher than 15%

B. All three should be undertaken, because the rate of return on B is above 6%, on C is above 10%, and on A is above 15%.

C. Only A and C should be undertaken because both have rates of return that are greater than 10%.

D. None of the above is correct.

38. Which of the following is an appropriate way to measure cash flows?

a. Treat depreciation as a negative cash flow

b. Consider only incremental costs and revenues

c. Consider only after-tax cash flows

d. All of the above are appropriate ways to measure cash flows.

39. The net present value of a project is equal to

A. the present value of all net cash flows that result from the project.

B. the present value of all revenues minus the present value of all costs that result from the project.

C. the present value of all future net cash flows that result from the project minus the initial investment required to start the project.

D. All of the above are correct.

40. The net present value method and the internal rate of return method will always yield

the same decision when

A. a single project is evaluated.

B. mutually exclusive projects are evaluated.

C. a limited number of projects must be selected from a large number of opportunities.

D. All of the above are correct.

41. Arrange the following elements of the project preparation and analysis in the right order:

1. Appraisal/evaluation

- 2. Feasibility study
- 3. Pre-feasibility Study
- 4. Support study

- A. 2-4-3-1
- B. 1-3-2-4
- C. 4-3-1-2
- D. 3-2-4-1

42. Which of the below is not a method used for the economic analysis of the pavements?

- a) Rate of return method
- b) Cost-benefit method
- c) Annual cost method
- d) Average cost method

43. The project is said to be worth undertaking if the benefit-cost ratio is _____

- a) Less than 1
- b) Less than 5
- c) More than 1
- d) More than 5

44. Which of the following factors could exert significant pressure on the decision making process on the selection of projects from available alternatives?

- A. Political
- B. social and
- C. economic variables.
- D. All

45. A given projects output can be traded if:

- A. CIF prices > Domestic market prices;
- B. Fob prices > Domestic market prices.
- C. Fob prices < Domestic market prices.
- D. CIF prices = Domestic market prices

46. Which of the following measures a benefit of a given project by the change it bears than monetary unit?

- A. Financial analysis
- B. Project analysis
- C. Economic analysis

D. Appraisal analysis

47. Which of the following price discrimination charges lower price for purchasing extra batch of commodity

- A. First degree price discrimination
- B. Second degree price discrimination
- C. Third degree price discrimination
- D. Multi part price discrimination

48. According to perfect competition which one of the following is true?

- A. $P=MR= C$. $P=DD$
- B. $P=TR$ D. ALL

48. A monopolist can practice price discrimination when

- A. Markets are separated physically
- B. Buyers should not resell the products
- C. The seller should have some degree of monopoly power
- D. All of the above.

49. A perfectly competitive market is best characterized by

- A. existence of competition between or among firms
- B. existence of a heterogeneous product
- C. availability of a perfect knowledge about market condition
- D. existence of blocked entry E. all

50. The practice of charging different prices for the same commodity is said to be

- A. Output discrimination
- B. price discrimination
- C. Law of demand
- D. price elasticity of demand

51. Which one of the following is correct statement?

- A. For a monopolist, price always equals marginal cost
- B. For a perfectly competitive firm, price equals average revenue
- C. A monopolist may experience a loss in the short run
- D. In the long run a perfectly competitive firm produces output less than social optimal

52. Suppose that firm A is operating in a perfectly competitive market and faces a situation in which price is less than ATC but greater than AVC, then this firm is operating at

- A. A loss C. Zero profit
B. Economic profit D. Shutdown point E. none

53. A collection of all firms producing exactly identical or homogeneous product forms:

- A. Institution B. Organization C. Industry D. product group E. none

54. Dividing consumers in to two or more groups with separate demand curves and charging

different prices to each group. Some characteristic is used to divide customers in to distinct

groups

- A. Multi part price discrimination. C. Second degree price discrimination
B. Third degree price discrimination. D. First degree price discrimination E.

None.

55. The type of good that the total price effect is positive (quantity will increase for an increase in price, and vice versa).

- A. Normal good B. Inferior good C. substitution good D. None.

56. Which of the following statements best explains how the use of money in an economy increases economic efficiency?

- A) Money increases economic efficiency because it is costless to produce.
B) Money increases economic efficiency because it discourages specialization.
C) Money increases economic efficiency because it decreases transactions costs.
D) Money cannot have an effect on economic efficiency.

57. Which of the following is *not* a problem in comparing developed and developing countries' GNP?

- A. GNP is understated for developed countries, since a number of items included in their national incomes are intermediate goods
B. The economic contribution of a housewife in a peasant family may not be measured in GNP in poor country.

- C. GNP is understated for developing countries since many of their labor-intensive goods have no impact on exchange rate since they are not traded.
 - D. GNP is overstated for countries where the price of foreign exchange is less than market clearing price.
58. According to Lewis's model, the dual economy grows only when
- A. The modern sector increases its output share relative to the traditional sector.
 - B. Agricultural sector uses modern equipment.
 - C. Agricultural sector hires labor economically.
 - D. Modern manufacturing sector is labor-intensive.
59. The following statements are true about informal sector except
- A. Uses no mechanical power.
 - B. May be enterprises with less than 10 workers.
 - C. Production is capital-intensive.
 - D. Uses family workers.
60. Which of the following is not a requirement for economic development?
- A. a temperate climate.
 - B. natural resources.
 - C. an adequate capital base.
 - D. technological advance.
61. Increases in real GNP per capita occur when
- A. government programs direct resources away from investment goods to consumer goods.
 - B. tariffs and quotas prevent countries from trading and thus prevent dollars from leaving each country.
 - C. the rate of growth in real GNP is greater than the rate of growth in the population.
 - D. the level of consumption expenditures rises relative to the level of saving.
62. One criticism of Rostow's theory of economic growth is that
- A. much available data contradicts his thesis about the takeoff stage.
 - B. there is no explanation of why growth occurs after takeoff.
 - C. his hypothesis of the stages of growth is difficult to test empirically.
 - D. all of the above are correct
63. The vicious circle theory states that

- A. growing government assistance create addiction to welfare programs.
 - B. low income levels create pressure for money creation.
 - C. low income levels create pressure for cheap imports.
 - D. low per capita income creates low savings that keep incomes low.
64. During the 1980s and 1990s, a period of economic conservative governments in much of the West and Japan, a leading approach among development economists was
- A. neoclassicism.
 - B. Marxism.
 - C. Rostow's model.
 - D. the classical approach.
65. The synchronized application of capital to a wide range of different industries is called _____ by its advocates.
- A. balanced growth.
 - B. capitalization.
 - C. elasticity of capital.
 - D. indivisibilities.
66. For Rosenstein-Rodan a major indivisibility is in
- A. supply.
 - B. infrastructure.
 - C. agriculture.
 - D. services.
67. The Lewis model explains how growth gets started in a less developed economy
- A. with an average product of labor in agriculture that is negative.
 - B. with a downward-sloping supply curve of labor.
 - C. with a marginal productivity of labor zero or negligible in industry.
 - D. with a traditional agricultural sector and an industrial capitalist sector.
68. Which of the following is not a possible cost of high fertility rates and rapid population growth?
- A. Increasing returns to natural resources, with a direct impact on average food consumption.
 - B. Increased urbanization and congestion.

- C. A higher labor force growth rate and higher unemployment.
D. a working population that must support a larger number of dependents
69. According to Harris and Todaro, creating urban jobs by expanding industrial output
- A. Is insufficient for solving the urban unemployment problem.
 B. Will generate capital-intensive technologies.
 C. Will generate more government revenue through urban wages.
 D. Induces government to increase minimum wages.
70. The simplest explanation based on Lewis's model for rural urban migration is
- A. That people migrate when urban wages exceed rural wages.
 B. A higher expected income in urban areas.
 C. Better infrastructure in urban areas.
 D. The availability of labor-intensive jobs in urban areas.

Answer question 95 and 96 based on the following Comparative Costs of wheat and maize in Kenya and Ethiopia

	keneya	Ethiopia
wheat (price per hectare)	shilg.100	birr 600
maiz (price per hectare)	shilg 200	birr.40

71. keneya has a comparative cost advantage in

- A. **wheat.** C. both of them
 B. maize. D. none of them

72. Ethiopia has comparative cost in

- A. **wheat.** C. both of them
 B. maize. D. none of them

73. Which of the following is not a major factor raising LDC agricultural labor productivity?

- a) new biological-chemical-mechanical inputs in production.
 b) new technical and organizational knowledge from greater specialization.
 c) expanded markets for agricultural output.
d) massive government intervention

74. Which of the following is not a form of urban bias?

- a) Government may set price floors on food and price ceilings for industrial goods.
- b) Tax incentives and subsidies to infant-industry growth in rural area.
- c) Tariff and quota protection for industry growth in urban area.
- d) Spending more for education, training, housing, health and transport in urban areas than in rural areas.

75. Aid or official development assistance (ODA) includes all except

- a) development grants.
- b) loans with at least 25 percent grant element.
- c) military assistance.
- d) technical cooperation

76. An annual summary of a country's international economic and financial transactions is

- a) the capital account.
- b) the international balance of payments statement.
- c) the long term current account.
- d) the trade account

77. Bilateral aid is

- a) is technical aid given by IMF.
- b) is given directly by one country to another.
- c) is aid with repayment in inconvertible currency.
- d) is a loan at bankers' standards.

78. A country's total external debt (EDT) includes all except

- a) short-term debt with a maturity of one year or less.
- b) long-term debt with a maturity of more than one year.
- c) repurchase obligations to the IMF.
- d) public official development assistance

79. The debt-service ratio is the

- a) long-term debt divided by GDP of a country in a given year.
- b) interest and principal payments divided by exports of goods and services.
- c) ratio of debt net of portfolio investment, financing, and foreign direct investment.

- d) default and reschedule debt minus annual export revenues that must be devoted to paying interest.

80. The weekly cost $c(m)$ of renting a car from an Auto Rent company Depends on the number of miles driven. The cost function is given by:

$$c(m) = \begin{cases} 100 & \text{if } 0 < m \leq 200 \\ 100 + 0.2m & \text{if } 200 < m \leq 500 \\ 150 + 0.1m & \text{if } m > 500 \end{cases}$$

Is $c(m)$ continuous for $m > 0$?

- A. Yes, it is always continuous
- B. No, it has a discontinuity at $m = 50$
- C. It depends on additional cost factors
- D. Not enough information to determine

81. Give first order linear difference equation, $Y_t = -1/4Y_{t-1} + 60$ and $Y_0 = 8$, the time path of the difference equation is

- A. stable and non-oscillating
- B. stable and Oscillating
- C. non-stable and oscillating
- D. non-stable and non-oscillating

82. A firm produces two products x & y . the cost of producing the products is:

$$C(x, y) = 0.04x^2 + 0.01xy + 0.01y^2 + 4x + 2y + 5000$$

Suppose that the firm sells all its output at a per unit price of birr 15 for X and birr 9 for y . The profit maximizing level of output is

- A. 12 and 10
- B. 6 and 7
- C. 8 and 9
- D. None

83. Given $Q = \alpha P^\beta$ where α and β are constants: the price elasticity of demand is

- A. $\alpha P^{\beta-1}$
- B. $\beta \alpha P^{\beta-1}$
- C. $\beta P^{\beta-1}$
- D. $\beta \alpha P^\beta$

34. Real and nominal GDP is measured respectively at

- A. Current price and Constant Price
- C. Current price and Current price
- B. Constant price and Current price
- D. Constant price and Constant price.

84. When _____, there is functional dependency among equations and hence no unique solution exists?

- A. Jaccobian determinants is positive
- B. Jaccobian determinants is negative
- C. Jaccobian determinants is zero
- D. None

85. Let the average cost function is $AC = Q^2 - 4Q + 8$ where Q is the level of output, then the stationary value of average cost is
- A. 2 B. 0.5 C. 4 D. 10

